QUARTERLY INVESTOR REPORT

Driftwood Self Storage | Tempe, AZ

Investment	Driftwood Self Storage
Quarter	1Q 2019
Report Date	June 14, 2020
Sponsor	Sunbelt Ridge Acquisitions
Occupancy	95.9%

Business Plan Progress

Projected levered IRR is 8.8% with an equity multiple of 1.42x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital.

Projected levered IRR is 7.6% with an equity multiple of 1.27x over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Property Operations

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 11 hours. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Collections for the period were 89.0% of billed charges, with bad debt of 3.5% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investment Overview

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 5.6% with an equity multiple of 1.26x over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 90.1% and the average in-place rent is $156 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Management Commentary

Physical occupancy is 94.5% and the average in-place rent is $156 per unit per month. Collections for the period were 88.9% of billed charges, with bad debt of 3.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

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Risk Considerations

Projected levered IRR is 10.0% with an equity multiple of 1.46x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 92.7% and the average in-place rent is $156 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Service requests are tracked through a work-order system with an average completion time of 8 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Service requests are tracked through a work-order system with an average completion time of 2 hours. Collections for the period were 90.1% of billed charges, with bad debt of 7.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members.

Business Plan Progress

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 95.1% and the average in-place rent is $156 per unit per month. Projected levered IRR is 13.6% with an equity multiple of 1.37x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 95.0% and the average in-place rent is $156 per unit per month. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Property Operations

Collections for the period were 95.0% of billed charges, with bad debt of 6.7% of gross potential income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 94.8% of billed charges, with bad debt of 3.4% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 24 hours. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Interior	03/01/26	Q2 2026	$377,000	$326,281	Bidding
Sewer line repair	Energy	10/20/25	Q1 2027	$230,000	$48,896	In progress
Roof replacement - Bldg B	Interior	10/25/25	Q2 2025	$848,000	$125,457	Complete
Pool resurfacing	Interior	09/23/26	Q4 2025	$353,000	$218,810	Approved
Unit interior upgrades	Interior	09/14/25	Q2 2027	$90,000	$15,961	Approved
LED lighting retrofit	Energy	07/03/24	Q3 2025	$663,000	$341,571	Deferred
Security camera upgrade	Building	09/04/24	Q2 2027	$163,000	$130,332	Bidding
Elevator modernization	Life Safety	06/19/26	Q2 2026	$560,000	$149,066	Complete
Elevator modernization	Building	10/10/24	Q4 2027	$77,000	$7,549	Complete
Sewer line repair	Building	01/14/25	Q2 2027	$460,000	$188,192	Bidding
Signage / monument	Site	02/10/25	Q1 2027	$132,000	$55,661	Complete
Storefront glazing	Building	06/09/24	Q1 2026	$225,000	$79,405	Bidding
Unit interior upgrades	Life Safety	08/01/24	Q3 2027	$418,000	$353,826	Deferred
LED lighting retrofit	Site	06/12/26	Q3 2025	$747,000	$315,856	In progress
ADA compliance	Interior	10/30/26	Q4 2026	$665,000	$301,047	Complete
Parking lot resurfacing	Interior	07/29/25	Q1 2027	$563,000	$215,268	In progress
Sewer line repair	Interior	04/13/24	Q2 2026	$652,000	$306,351	Approved
Fence replacement	Interior	02/02/24	Q3 2026	$878,000	$134,617	Approved
Water heater replacement	Energy	12/19/26	Q2 2025	$411,000	$87,253	Deferred
HVAC replacement	Site	01/01/24	Q2 2026	$544,000	$175,411	In progress
LED lighting retrofit	Energy	06/07/24	Q3 2025	$892,000	$721,160	Approved
Lobby renovation	Life Safety	04/14/24	Q4 2027	$544,000	$276,659	In progress
Water heater replacement	Energy	08/07/24	Q1 2025	$589,000	$97,192	Complete
Lobby renovation	Life Safety	06/02/24	Q4 2025	$472,000	$288,757	Deferred
Security camera upgrade	Interior	05/30/24	Q4 2027	$207,000	$100,893	Deferred
ADA compliance	Energy	01/04/23	Q1 2026	$172,000	$35,742	Deferred
Water heater replacement	Building	08/05/24	Q2 2027	$398,000	$190,355	Approved
Landscape / irrigation	Life Safety	01/07/26	Q3 2025	$632,000	$53,270	Approved
Roof replacement - Bldg D	Interior	09/19/24	Q3 2026	$560,000	$255,523	Complete
Fire alarm panel upgrade	Site	02/01/26	Q2 2027	$585,000	$591,392	Bidding
Sewer line repair	Life Safety	02/19/25	Q3 2026	$310,000	$323,003	Complete
Storefront glazing	Site	04/16/26	Q2 2026	$273,000	$156,271	Approved
HVAC replacement	Building	11/29/25	Q3 2026	$351,000	$220,472	Bidding
HVAC replacement	Life Safety	05/27/25	Q4 2027	$203,000	$99,400	Bidding
Parking lot resurfacing	Building	03/10/23	Q4 2027	$636,000	$226,890	Bidding
Exterior paint	Energy	07/10/26	Q2 2027	$339,000	$235,309	Approved
Sewer line repair	Life Safety	12/01/23	Q4 2027	$899,000	$378,187	In progress
Amenity renovation	Interior	02/04/26	Q4 2027	$855,000	$817,149	In progress
Elevator modernization	Life Safety	11/06/24	Q4 2025	$836,000	$582,060	Approved
Fire alarm panel upgrade	Energy	05/04/26	Q2 2026	$731,000	$714,684	Deferred

Report generated 06/14/2020. Figures are unaudited and subject to change.

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The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Driftwood Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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